

CRAVEN INC. — Financial Control & Market Expansion Plan

Prepared by: CEO, CFO, CPO

1. Executive Objective

Establish a disciplined financial system that:

- Maintains operational stability
- Generates controlled surplus
- Converts surplus into measurable competitive pricing advantage
- Enables structured, repeatable market expansion

This plan eliminates reactive decision-making by replacing it with a controlled, performance-driven operating model.

2. Financial System Philosophy (Enterprise Controls)

Craven's financial operating model is built on three non-negotiable beliefs:

1. **Baseline first:** The business must remain operationally stable before any expansion or pricing maneuvering occurs.
 2. **Surplus governance:** Pricing leverage is funded only by surplus — no arbitrary assumptions, no ungoverned spending.
 3. **Structural risk separation:** Execution speed and protection of capital are enforced through account separation, not through human discipline alone.
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3. Core Financial Structure

3.1 Banking Architecture

Execution Layer (Primary — allocation speed + operating engine)

- Mercury Operating Account
- Mercury Pricing / Growth Account

Protection Layer (Capital vault — risk isolation)

- Reserve Account (Chase or existing Bluevine)

3.2 Functional Roles

Operating Account

- Receives **all Stripe payouts**

- Covers payroll, vendor payments, and core operating expenses
- Anchors monthly baseline burn

Pricing / Growth Account

- Holds funds allocated for:
 - Commission reduction strategy
 - Market expansion efforts
- Acts as the competitive lever by funding pricing advantage from governed surplus

Reserve Account

- Holds protected capital
 - No day-to-day access
 - Used only for:
 - Emergency scenarios
 - Planned distributions (dividends / deferred comp)
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4. Baseline & Revenue Logic

4.1 Fixed Baseline Burn

- Monthly baseline burn: ~**\$46,000**

This baseline represents the minimum required to operate without compromising payroll continuity, critical vendors, or execution capacity.

4.2 Revenue Flow Logic

1. Stripe payouts -> Mercury Operating
2. First \$46K -> retained in Operating (non-negotiable baseline coverage)
3. Any amount above baseline -> classified as Surplus

Surplus is the only source of funds allowed to influence commission economics and expansion investment.

5. Surplus Allocation Model

Once baseline is covered, surplus is split into three governed buckets.

5.1 Allocation Structure

- 20% -> Reserve (Protection)
- 40% -> Retained Business Capital
- 40% -> Pricing / Growth (Market Leverage)

5.2 Purpose of Each Allocation

Reserve (20%)

- Builds long-term stability
- Supports deferred compensation and future distributions
- Reduces financial risk

Retained Business Capital (40%)

- Strengthens internal liquidity
- Supports scaling operations
- Covers unforeseen operational increases

Pricing / Growth (40%)

- Funds commission reduction strategy
 - Supports targeted expansion into new markets
 - Drives competitive positioning and merchant savings
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6. Commission Adjustment System (Surplus-Derived)

6.1 Principle

Commission is not manually set. It is derived from available surplus allocated to pricing.

6.2 Calculation Method (Monthly)

1. Identify monthly surplus allocated to pricing
2. Divide by total monthly order volume
3. Translate into per-order leverage value
4. Convert into effective commission % reduction for the next billing cycle

6.3 Example (Illustrative)

- Pricing allocation: \$20,000
- Orders: 5,000/month
- Per-order leverage: \$4

On a \$40 order:

- \$4 = 10% of order value

Result (controlled example):

- Commission reduced from 15% -> ~12% or lower

6.4 Implementation Rules (Non-Negotiable Controls)

- Adjustments occur monthly only
 - Changes apply to the next billing cycle
 - No mid-cycle or reactive changes
 - No discretionary commission changes outside the governance cadence
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7. Operational Phases (Execution Over Time)

Phase 1 — Stabilization

- Maintain current commission (e.g., 15%)
- Track revenue and burn vs baseline
- No pricing adjustments
- Goal: consistent surplus generation above baseline

Phase 2 — Controlled Allocation

- Begin surplus allocation (20/40/40)
- Fund Reserve and Pricing / Growth accounts
- Maintain conservative commission reductions based on realized surplus

Phase 3 — Market Pressure

- Deploy pricing advantage in expansion markets
- Example:
 - Launch new city at 12%
 - Supported by surplus from established markets (e.g., Toledo)

Positioning:

- We are already profitable in existing markets.
 - We pass savings directly to merchants.
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8. Expansion Strategy

8.1 Market Entry Model

New markets (e.g., Cincinnati) will launch with:

- Lower starting commission (e.g., 12%)
- Backed by surplus from established markets
- Supported by clear merchant-facing savings

8.2 Merchant Positioning

- Emphasize real dollar savings vs competitors
- Reinforce platform as:
 - Lower cost
 - More aligned with merchant success

8.3 Physical Presence Strategy (Brand Execution)

- Strong in-store branding
- Larger, more visible signage than competitors
- Messaging focused on:
 - Merchant benefit

- Local alignment
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9. Governance & Controls

9.1 Non-Negotiable Rules

1. Baseline (\$46K) is always covered first
2. Reserve funds are not used for operations
3. Commission reductions only occur from surplus allocated to pricing
4. Adjustments happen monthly - not reactively
5. Monthly finance review is required for transparency and auditability

9.2 Reporting Cadence (Monthly Finance Review)

Monthly review includes:

- Total revenue / settlement inflows
 - Baseline coverage status
 - Surplus generated
 - Allocation breakdown (20/40/40)
 - Current commission rate
 - Projected next-cycle commission (derived)
 - Cash runway implications and reserve movement
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10. Strategic Outcome

This system ensures:

- Financial discipline from day one
 - Predictable scaling without cash instability
 - Ability to undercut competitors without risk
 - A repeatable model for multi-city expansion
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11. Summary

Craven will not compete through uncontrolled spending or arbitrary pricing.

Instead, the company will:

- Operate lean
- Generate surplus
- Convert surplus into pricing advantage
- Scale market by market with control

This creates a system where growth is funded internally and competition is addressed through structured financial leverage.

End of Plan

CRAVEN INC. — Addendum — Banking Infrastructure Rationale (Mercury + Reserve Strategy)

Prepared by: CEO, CFO, CPO

1. Purpose

This addendum outlines:

- Why Mercury is being used as the primary operating bank
- Why this structure is safe and appropriate
- How risk is mitigated through account separation

This is to ensure full alignment across leadership, specifically finance.

2. Why Mercury (Primary Operating Bank)

2.1 Functional Fit for Our Model

Craven requires:

- Fast internal fund movement (monthly allocations)
- Multiple account segmentation (Operating, Pricing)
- Clean visibility into cash position

Mercury provides:

- Instant transfers between internal accounts
- Ability to create multiple accounts under one entity
- Simple, real-time financial visibility

This directly supports our allocation model:

- Baseline -> Surplus -> Structured distribution

A traditional bank introduces friction here.

2.2 Integration with Stripe

- Mercury is designed to work seamlessly with Stripe
- Faster settlement and cleaner reconciliation
- Reduces operational complexity in payout tracking

This is critical since:

- All revenue originates through Stripe

- Timing and clarity of inflows matter for monthly allocation logic

2.3 Operational Speed

Our model depends on:

- Monthly allocation cycles
- Rapid reallocation of surplus
- Timely execution of pricing adjustments

Mercury enables:

- Same-day internal transfers
- No manual bottlenecks
- No dependency on external banking delays

This is not a convenience - it is a requirement for execution.

3. Safety & Risk Considerations

3.1 Not a "Standalone Fintech Risk"

Mercury is not holding funds independently. Funds are held with partner banks:

- FDIC-insured institutions (e.g., Evolve Bank & Trust, Choice Financial)

Coverage:

- Up to \$250,000 per depositor, per bank
- With Mercury's sweep structure, coverage can extend beyond a single bank limit

3.2 Risk Mitigation Through Structure

We are not relying solely on Mercury. We are intentionally separating functions:

Mercury (Execution Layer)

- Operating funds
- Pricing / growth allocations
- Active cash movement

Major Bank / Bluevine (Protection Layer)

- Reserve capital
- No operational exposure
- No daily movement

3.3 Why This Matters

Execution funds require speed -> Mercury Protected funds require stability -> Major bank

This separation ensures:

- We do not expose reserve capital to operational risk
 - We maintain liquidity without sacrificing discipline
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4. Why Not Use a Major Bank for Everything

A traditional bank (e.g., Chase) introduces:

- Slower internal transfers
- Limited sub-account flexibility
- Increased friction in monthly allocation execution

This creates:

- Delays in pricing adjustments
- Manual overhead
- Higher likelihood of operational inefficiency

For our model, this is unacceptable.

5. Control & Discipline

The system is designed to enforce behavior:

- Operating funds remain in Mercury
- Pricing funds remain in Mercury
- Reserve funds are isolated externally

Key rule: Reserve funds are not used for:

- Operating expenses
- Pricing adjustments

This ensures long-term stability.

6. Strategic Position

This is not a temporary setup. This is a deliberate structure:

- Mercury -> engine
- Reserve bank -> vault

This structure allows us to:

- Execute quickly
 - Protect capital
 - Scale without reworking financial infrastructure
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7. Bottom Line

We are not choosing Mercury over traditional banking. We are assigning roles:

- Mercury = engine
- Reserve bank = vault

This structure allows us to:

- Execute quickly
 - Protect capital
 - Scale without reworking financial infrastructure
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End of Addendum